SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 2

Analyzing the Marketing Environment: Good Strategy, VRIO & 5C

Before building marketing strategy, diagnose the situation. This week covers good strategy (Rumelt), finding competitive advantage with VRIO, and mapping the situation with the 5Cs. Main case: Unilever in Brazil — should the detergent giant target low-income consumers?

Material

1 What is good strategy?

Rumelt's kernel: **diagnosis** (what's the real challenge), **guiding policy** (the overall approach), **coherent actions** (mutually reinforcing steps). Bad strategy is slogans, targets or disconnected programs. Customers want solutions — rivals can offer them too — so advantage comes from solutions plus meaningful experience that is hard to copy.

2 VRIO: from resources to competitive advantage

VRIO tests resources: **Valuable**, **Rare**, **Inimitable**, **Organized**. Failing V = disadvantage; V only = parity; V+R = temporary advantage; V+R+I without O = unused advantage; all four = sustained advantage. Hard-to-copy assets are usually brands, networks, culture and customer insight.

3 VRIO as a decision tree Deep dive

Valuable? → Rare? → Inimitable? → Organised?

→ Sustained advantage

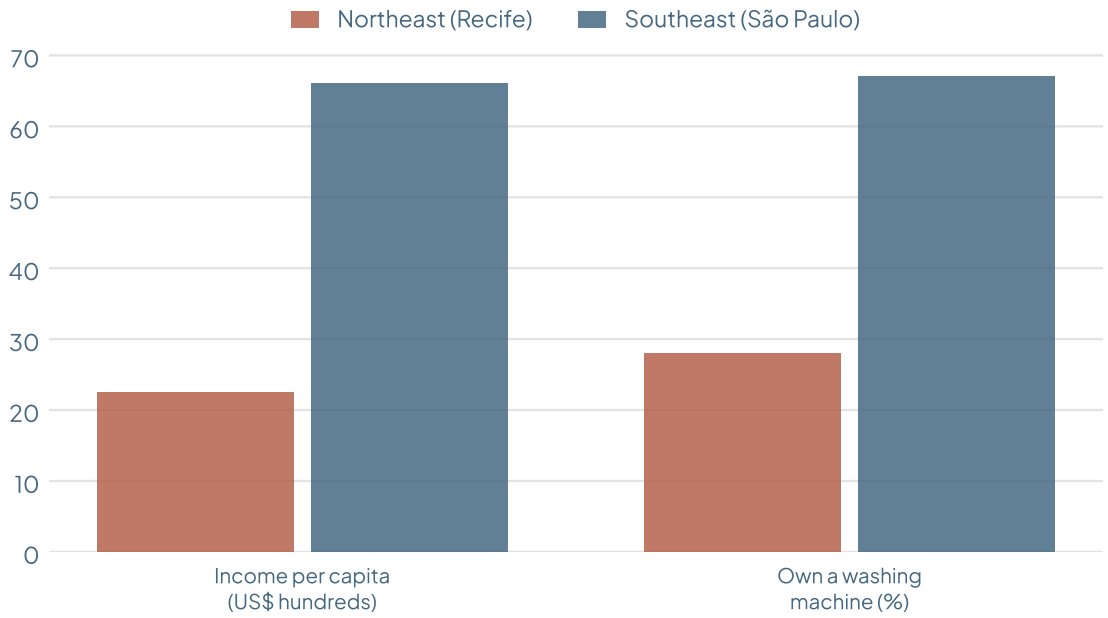
Resource	Result
Omo brand	Sustained
Formulation tech	Parity
Small-store distribution	Must be built
Low-income consumer insight	Sustained

4 Situation analysis and the 5Cs

5Cs: Company (strengths, resources), Collaborators (suppliers, distributors, partners), Customers (needs, behaviour, buying power), Competitors (direct, indirect, substitutes), Climate (PESTEL). They reveal internal/external patterns and feed SWOT and the strategic diagnosis — essentially Kotler's micro- and macro-environment (ch. 3).

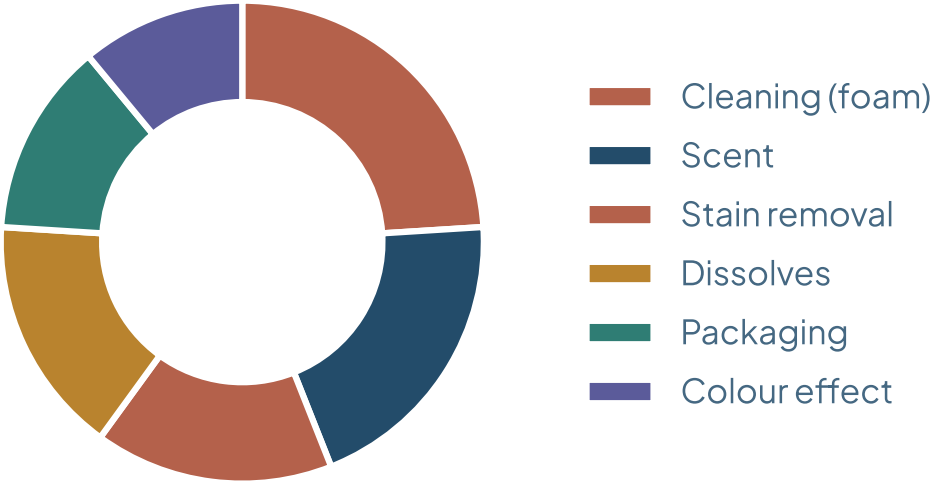
5 Northeast Brazil consumer data charted Deep dive

Northeast vs Southeast Brazil



Income ~$2,250 vs ~$6,600 (÷100).

Most important detergent attributes (NE)



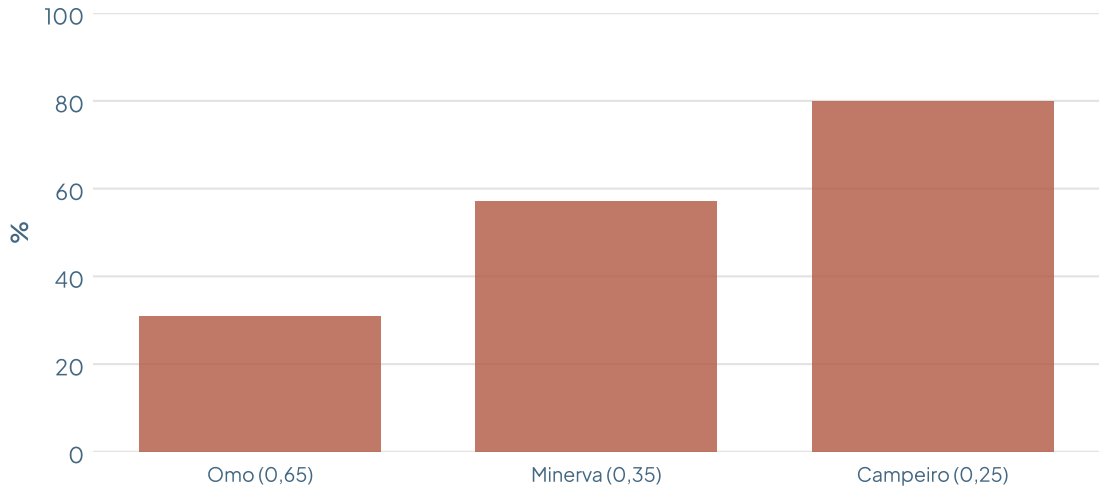
Cleaning power and scent are 44% of importance.

How much cannibalisation is safe?

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Break-even cannibalisation = new margin ÷ cannibalised margin
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With an illustrative new margin of 0.20, the limit vs Omo (0.65) is ~31%.

Break-even cannibalisation if the new margin is 0.20



Illustrative new margin; higher old margins tolerate less cannibalisation.

6 The hallmarks of bad strategy (Rumelt) and how to test for them

Rumelt not only explains good strategy but also four hallmarks of **bad strategy**. Use them as a checklist when reading a business plan — including your own group's plan.

Hallmark	What it looks like	Example sentence
Fluff	Big words that sound sophisticated but are empty	"We will leverage customer-centric omnichannel synergies"
Failure to face the challenge	The real problem is not named, so the plan cannot be evaluated	A UNVR plan that never mentions Wings, the boycott or the shrinking middle class
Mistaking goals for strategy	Only numerical targets with no way to reach them	"Grow 20% and become number 1 in Eastern Indonesia"

Bad strategic objectives	A wish list that is too long or too far beyond the firm's ability	Twelve "strategic priorities" at once

Quick test: (1) Can you state the main problem in one sentence? (2) Does the guiding policy make some options things you will *not* do? Good strategy always means saying no to something. (3) Do the actions reinforce each other (price, packaging, distribution and communication all pushing the same way)?

≡ **An example kernel for Unilever Brazil**

Diagnosis: growth in the Southeast has stalled; 48 million Northeast consumers are unserved because Omo is too expensive and distribution does not reach small shops. **Guiding policy:** build a dedicated offer for NE consumers that still delivers cleaning power and scent at a lower total cost. **Coherent actions:** a simpler formula, cheap plastic packaging, a lower price, specialised distributors to small shops, and communication rooted in local values (the Ala brand).

7 Micro and macro environment (PESTEL) and SWOT–TOWS: the UNVR 2026 example

Kotler splits the marketing environment into two layers. The **microenvironment** (close, partly influenceable): the company itself, suppliers, marketing intermediaries (distributors, retailers, logistics, agencies), customers, competitors and publics (media, government, communities). The **macroenvironment** (broad, uncontrollable): demographic, economic, natural, technological, political-legal and cultural forces.

PESTEL for mass-market detergent in Indonesia, 2026 (data from Case 2 Unilever Indonesia):

Factor	Fact from the case	Implication
Political	Pro-Palestine boycotts since 2023 hurt multinational brands in an 87% Muslim market	Stress "made in Indonesia" and local contribution; local brands (Wings) benefit

Economic	Middle class fell from 57.3m (2019) to about 47.9m (2024); aspiring middle class about 137.5m; VAT rising; online loans IDR 65tn	"Downgraded" consumers look for value per wash, not the most expensive brand
Social	Fragrant clothes = a well-kept family; washing in shared spaces (gotong royong)	Scent and foam are requirements, not extras; brands carry social meaning
Technological	QRIS at 30m+ merchants, warung digitisation apps, TikTok Shop	Warung sell-through data and digital promotion can reach Tier 2/3
Environmental	Sachet phase-out target 2030, Bali small-sachet ban 2026, plastic resin cost up about 23%	The sachet format (the main access point for low-income consumers) is getting costlier and riskier
Legal	Planned EPR Presidential Regulation 2026; mandatory SNI (Ministry of Industry Reg. 16/2023) for biodegradable surfactants	Compliance costs rise; an opening for refill/concentrate packs

From SWOT to TOWS. SWOT only lists; TOWS pairs internal and external factors into strategy options:

S–O (strengths × opportunities) Use Unilever's fragrance technology + warung digitisation → a "long-lasting scent" sachet with promotions driven by QRIS data.

W–O (fix weaknesses through opportunities) Weak warung distribution → partner with Mitra/Alfagift platforms to reach warungs without building an own network.

S–T (strengths × threats) Use Rinso/Surf brand trust to fight Daia on "certainty of a good wash" (reduces anxiety) rather than a price war.

W–T (defend) Sachet dependence + plastic regulation → pilot refill/concentrate packs in Tier 2 cities before the rules bite.

A firm can be **reactive** (adjusting after the environment changes) or **proactive** (shaping the environment, for example co-designing refill systems with

government and start-ups such as Alner). Kotler encourages a proactive stance where possible.

Key takeaways

1. Good strategy = diagnosis + guiding policy + coherent actions.
2. Advantage = solutions + meaningful experience that's hard to copy.
3. VRIO: Valuable, Rare, Inimitable, Organized — all four = sustained advantage.
4. 5Cs: Company, Collaborators, Customers, Competitors, Climate.
5. Understand real behaviour through field research.
6. Break-even cannibalization = new margin ÷ cannibalized margin.
7. Low-income markets need a redesigned mix, not a shrunken premium product.

Case studies

Case & worked answers

Case 1: Unilever in Brazil (1997–2007) — strategy for low-income consumers

Situation: Unilever held 81% of Brazil's powder market; growth lay in 48m low-income Northeasterners. Laercio's "Everyman" field research met internal resistance over cannibalization and brand image.

5C: NE customers earn ~$2,250 per capita, mostly hand-wash with bar soap and bleach, add powder for scent, wash 5×/week socially, and see cleanliness as pride; key attributes: cleaning power (foam) 24%, smell 20%, stain removal 16%, dissolving 16%, packaging 13%, colours 11%. Unilever has Omo's equity but no NE small-store reach; P&G and local brands threaten (cf. Nirma in India);

specialized distributors cost $0.05/kg vs $0.10; Plano Real boosted the poor's buying power.

VRIO: Omo equity and scale = advantages; R&D = parity; NE insight = potential advantage; NE distribution = gap to close.

Cannibalization: margins/kg Omo $0.65, Minerva $0.35, Campeiro $0.25. Illustratively, a new brand at ~$0.40/kg breaks even if under ~62% of its volume comes from Omo (break-even rate = new margin ÷ cannibalized margin).

Strategy: new trusted brand for hand-washing (foam, scent, stain removal), smaller packs that still look quality, price between Campeiro and Minerva, culturally resonant mostly below-the-line communication, specialized distributors. Unilever later launched **Ala** this way. Lesson for Indonesia: field-based diagnosis, a clear guiding policy, coherent actions.

Worked examples

Problem 1 · Medium **Kanibalisasi impas**

Merek baru memberi margin Rp4.000/unit. Setiap pembeli merek baru yang sebelumnya membeli merek lama menghilangkan margin Rp10.000. (a) Berapa tingkat kanibalisasi maksimum agar tetap untung? (b) Jika 100 unit merek baru terjual dan 50 di antaranya dari pembeli merek lama, untung atau rugi?

1. `Kanibalisasi impas = margin merek baru ÷ margin yang tergerus = 4.000 ÷ 10.000 = 40%`
2. (b) Tambahan margin = 100 × 4.000 = 400.000.
3. Margin yang hilang = 50 × 10.000 = 500.000.
4. Bersih = 400.000 − 500.000 = −100.000. Kanibalisasi 50% di atas batas 40%.

Answer: Batas 40%. Dengan kanibalisasi 50%, perusahaan rugi Rp100.000.

Practice questions

Try answering first. The answer key is below each question.

1. Valuable and rare but easy to imitate gives…

A. Disadvantage
B. Parity
C. Temporary advantage
D. Sustained advantage

Answer: C. Rivals will catch up.

2. New margin 0.20, Omo 0.65. Break-even cannibalisation ≈ …

A. 20%
B. 31%
C. 65%
D. 80%

Answer: B. 0.20/0.65.

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3. The most important attribute for NE consumers is…

A. Packaging
B. Cleaning power (foam)
C. Colour
D. Dissolving

Answer: B. 24%, then scent 20%.

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4. In the 5Cs, collaborators are…

A. End customers
B. Partners such as distributors and suppliers
C. Rivals
D. Staff only

Answer: B. Distributors for 75,000 stores.

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5. Per Rumelt, a hallmark of bad strategy is…

A. Clear diagnosis
B. Fluffy goals that dodge the core problem
C. Coherent action
D. Leverage

Answer: B. Kernel: diagnosis, guiding policy, coherent action.

Sources

- -P3MD- Week 2-MK3.pdf
- Case 1 - Unilever in Brazil 1997–2007 (INSEAD)
- Kotler & Armstrong bab 3